

SERVICE AGREEMENT FOR ACP DIGITAL LENDING IMPLEMENTATION

Contract Reference: AXF-2026-FBN-001

Date: June 15, 2026

Status: Signed

PARTIES

Service Provider:

Axe Finance S.A.

Zone Industrielle La Charguia, Tunis 2035, Tunisia

Registration: B0123456789

VAT: TN123456A

Represented by: Mr. Karim Mansour, Chief Executive Officer

Client:

Fidelity Bank Nigeria PLC

2 Kofo Abayomi Street, Victoria Island, Lagos, Nigeria

Registration: RC103022

Represented by: Mr. Nneka Okonkwo, Executive Vice President – Corporate Banking

1. PURPOSE OF AGREEMENT

This Agreement governs the implementation, configuration, and deployment of the Axe Credit Portal (ACP) digital lending software platform at Fidelity Bank Nigeria PLC (hereinafter "the Bank"). The scope covers the full digitalization of the Bank's Corporate Lending lifecycle, including KYC onboarding, credit scoring, multi-tier approval workflows, covenant management, and portfolio monitoring capabilities.

The Bank has determined that its current manual credit processes — averaging 21 business days from application to disbursement — are no longer competitive in the Nigerian corporate banking market and represent material operational risk. The deployment of ACP is intended to reduce turnaround time to a maximum of 5 business days for standard corporate credit applications under NGN 500 million.

2. FINANCIAL TERMS

Total Contract Value: USD 1,200,000 (One Million Two Hundred Thousand United States Dollars)

Payment Schedule:

Milestone	Amount (USD)	Due Date
Contract Signature	240,000 (20%)	Upon signing
Completion of Phase 1 (KYC + Scoring)	360,000 (30%)	September 30, 2026
Completion of Phase 2 (Workflow + Covenants)	300,000 (25%)	November 30, 2026
Go-Live Acceptance	180,000 (15%)	December 31, 2026
Post Go-Live Support (3 months)	120,000 (10%)	March 31, 2027

Late Payment: Any payment delayed beyond 30 days of invoice date will incur interest at 1.5% per month on the outstanding amount.

Currency: All payments to be made in USD via SWIFT transfer to Axe Finance's correspondent bank account at Société Générale, Tunisia. Account details provided separately under Annex C.

Travel and Expenses: Reasonable travel and accommodation expenses for on-site visits to Lagos will be invoiced separately at cost, not to exceed USD 80,000 over the duration of the project. All travel requires prior written approval from the Bank's project sponsor.

3. SCOPE OF SERVICES

3.1 Phase 1 — Foundation (July – September 2026)

Module 1: KYC and Corporate Onboarding Axe Finance will configure ACP's onboarding module to capture all required corporate client data in compliance with the Central Bank of Nigeria (CBN) KYC guidelines (CBN/RR/DIR/GEN/LAB/06/014). The configuration will include:

- Multi-step digital onboarding forms for corporate entities
- Mandatory collection of CAC registration documentation
- Beneficial ownership capture ($\geq 5\%$ shareholding threshold per CBN guidelines)
- AML/CFT screening integration hooks for the Bank's existing screening system (Fircosoft)
- Document upload capability supporting PDF format, maximum 25MB per document
- Nigerian RC number format validation

Module 2: Credit Scoring Engine Configuration of the Bank's proprietary Obligor Risk Rating (ORR) model within ACP's business rules engine. The model encompasses:

- 14 financial ratios computed automatically from uploaded financial statements
- Industry sector adjustment factors (18 sectors as per CBN prudential guidelines)
- Management quality scoring based on configurable qualitative questionnaire
- Market position assessment

- Output: Risk grade A through E, composite score 0-100, recommended credit limit
- Full audit trail of all scoring parameter changes per CBN Examination Guidelines

3.2 Phase 2 — Workflow and Monitoring (October – December 2026)

Module 3: Credit Approval Workflow Three-tier approval matrix configuration:

- Level 1: Relationship Manager (individual authority up to NGN 50,000,000)
- Level 2: Credit Risk Committee (NGN 50,000,001 to NGN 500,000,000)
- Level 3: Board Credit Committee (above NGN 500,000,000)
- Configurable SLA: 48 hours per approval level (default)
- Automatic escalation to supervisor upon SLA breach
- Conditional approval and request-for-information workflow paths
- Email and in-system notification at each approval stage

Module 4: Covenant Management Post-disbursement covenant tracking configuration:

- Financial covenants: minimum DSCR, leverage ratios, current ratio maintenance
- Reporting covenants: quarterly management accounts, annual audited statements
- Event covenants: change of control, dividend restrictions, cross-default
- Automated 30-day pre-review alerts
- Nightly batch breach detection with automatic escalation
- Waiver recording with full justification audit trail

Module 5: Portfolio Monitoring and Early Warning System 12-indicator early warning system configuration per CBN Prudential Guidelines on Credit Risk Management (2020):

1. Payment delinquency (>30 days past due)
2. Turnover decline (>20% year-on-year)
3. Adverse industry news (manual trigger)
4. Collateral value deterioration (>15%)
5. Facility utilization anomaly (>110% of limit)
6. Cross-default triggers
7. Auditor qualification flag
8. Management change flag
9. Regulatory action flag
10. Credit bureau deterioration
11. Covenant breach frequency (≥ 2 in 12 months)
12. Restructuring request flag

Weekly automated indicator evaluation with configurable thresholds. Automatic risk flag generation creating tasks for Relationship Managers.

4. KEY DATES AND DEADLINES

Date	Milestone
July 1, 2026	Project Kickoff — Axe Finance team on-site Lagos
July 15, 2026	Requirements sign-off (scoring model parameters, Annex A)
August 1, 2026	KYC module UAT begins
August 31, 2026	Credit scoring engine UAT begins
September 30, 2026	Phase 1 acceptance and payment milestone
October 15, 2026	Workflow UAT begins
November 15, 2026	Covenant management UAT begins
November 30, 2026	Phase 2 acceptance and payment milestone
December 1, 2026	User acceptance testing (UAT) full system
December 15, 2026	UAT sign-off deadline
December 31, 2026	Production go-live and acceptance
March 31, 2027	End of post go-live hypercare support

5. KEY RISKS AND SENSITIVE CLAUSES

5.1 Dependency on Scoring Model Delivery

The credit scoring module cannot be configured until the Bank delivers its ORR parameter document (Annex A). Delivery is required by July 15, 2026. Any delay beyond this date will result in a corresponding extension of the Phase 1 deadline at no additional cost to Axe Finance.

5.2 CBN Regulatory Changes

The CBN issued revised Prudential Guidelines in Q1 2026. Should additional guidelines be issued during the project that materially affect the agreed scope, both parties agree to a change control process. Material changes may result in scope extensions and additional charges, subject to written agreement.

5.3 Finacle Integration

Core banking integration (Finacle v11.2) for loan booking and account data synchronization is explicitly excluded from this contract scope. The Bank's IT team retains full responsibility for this integration. ACP will be configured in standalone mode for go-live, with integration as a Phase 2

extension.

5.4 Data Protection

All client data processed during the implementation is subject to the Nigeria Data Protection Regulation (NDPR) 2019. Axe Finance warrants that no production client data will be used in testing environments. All test data will be synthetic.

5.5 Intellectual Property

ACP software and all associated documentation remain the intellectual property of Axe Finance S.A. The Bank receives a perpetual, non-exclusive license to use ACP as configured under this agreement. Custom configurations developed specifically for the Bank are owned jointly.

5.6 Liability Cap

Axe Finance's total liability under this agreement shall not exceed the total contract value of USD 1,200,000. Neither party shall be liable for indirect, consequential, or punitive damages.

6. MAIN OBLIGATIONS

Axe Finance Obligations:

- Deliver all modules as specified in Section 3 within the agreed timelines
- Provide dedicated Project Manager and Technical Lead throughout the engagement
- Conduct knowledge transfer sessions for the Bank's administrators
- Provide technical documentation for all configured modules
- Maintain ISO 27001 information security standards throughout the engagement
- Respond to critical support issues within 4 business hours during go-live hypercare period

Fidelity Bank Obligations:

- Provide the ORR parameter document (Annex A) by July 15, 2026
 - Make available a dedicated project team including: Project Sponsor, Business Analyst, IT Lead, and Credit Risk representative
 - Provide access to test environments and necessary infrastructure by July 1, 2026
 - Ensure UAT participation by business users within agreed timelines
 - Process all invoices within 30 days of submission
 - Obtain all necessary internal approvals for go-live decisions
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7. GOVERNANCE AND REPORTING

A Joint Project Steering Committee (JPSC) will meet monthly to review project status, manage risks, and resolve escalations. The committee will comprise:

- From Axe Finance: Project Manager, Technical Lead
- From the Bank: EVP Corporate Banking (Sponsor), Head of Credit Risk, CIO

Weekly project status reports will be distributed every Friday by the Axe Finance Project Manager covering: milestone progress, issues log, risks register, and action items.

8. SUPPORT AND MAINTENANCE

Post go-live hypercare support is included for 3 months (January – March 2027):

- Response time: Critical issues (system unavailable) — 4 hours; High (core function impaired) — 8 hours; Medium — 2 business days
- Support provided via dedicated ticketing portal and dedicated WhatsApp channel
- Monthly configuration reports

Annual maintenance and support from April 2027 will be governed by a separate Support Agreement at 18% of contract value per annum.

9. SIGNATURES

For Axe Finance S.A.

Name: Karim Mansour

Title: Chief Executive Officer

Date: June 15, 2026

Signature: _____

For Fidelity Bank Nigeria PLC

Name: Nneka Okonkwo

Title: Executive Vice President – Corporate Banking

Date: June 15, 2026

Signature: _____

This agreement supersedes all prior discussions, proposals, and correspondence between the parties relating to its subject matter.

Annexes:

- *Annex A: ORR Scoring Parameter Document (to be delivered by July 15, 2026)*
- *Annex B: Technical Architecture and Integration Specifications*

- *Annex C: Banking Details for Payment*
- *Annex D: Data Protection Agreement*